I think my experiences in private equity provided me with a solid foundation in fundamental value analysis. The due diligence process on an acquisition candidate requires dissecting the company’s data at the most granular level. It’s very easy to get lost in the weeds analyzing narrow issues whose complexity increases the deeper you dig. But you need to drill down because that’s often where you find the information that leads to the questions that cause the investment thesis to unravel.

A necessary skill in private equity is the ability to kill bad deals quickly, since the resource-intensity of an analytical “deep dive” creates such high opportunity costs. One skill I learned from another former boss and mentor of mine, Will Thorndike at Housatonic Partners, was that finding answers is much easier when you know in advance what the questions are. Understanding what the right questions are can be deceptively difficult, but once you do, the rest is straightforward deductive analysis to determine whether the hypothesis is right. Usually it isn’t, in which case you throw it into the waste bin with the 98 percent of other hypotheses that never amount to anything.

How did your private equity experience translate forward when you got involved in the investment side?

I was drawn first to special situations, as they seemed to be a natural fit for the hypothesis-driven and rigorous analytical approach I’d been taught. My definition of a special situation is one where a price dislocation has occurred, either at a single company or across an industry, because the market has identified a particular idiosyncratic risk and assigned an uncertainty discount to it. It’s easy to frame the questions in special situations because the market has already identified the problem and applied the discount. We love classic bull versus bear battlegrounds, as they are dynamic, often complex, and involve events that can be probabilistically estimated. Although markets are generally good at estimating the magnitude of a contingent liability, they are often poor at evaluating outcomes probabilistically. Examples include litigations, regulatory actions, or other events that create the perception of going concern risk.

A specific example?